

How Much Should Fair Value Matter to Investors?

HOW CHEAP OR expensive are stocks *today*? This is always one of the more interesting investing debates. It is a confusing question for everybody, at any point in the market cycle. It often leads to fear, paralysis, bad decision-making, or some combination of the three.

In reality, it is a *trick* question. Most of the time, it is not especially relevant. The better and more important question to ask is, “Should valuation matter to long-term investors? Is it a meaningful input to your decision-making?” The answer is likely to surprise you.

A perfect example of this debate was a 2018 New Year’s Day *Wall Street Journal* article, “What to Buy When Nothing Is Cheap?”^{[189](#)} The dilemma facing large institutions and individuals alike was that nagging question: “Are stocks too expensive to buy?” This implies valuation is the singular factor investors should use.

As it turns out, avoiding US equities because they were over fair value was a terrible, money-losing strategy. That is especially true if you dollar cost average (DCA), putting a fixed amount into the stock market via a 401(k) or any regular savings plan each paycheck.

Since January 1, 2018, the S&P 500 (SPX) has doubled in price. Investors had to endure a near 20% drawdown in Q4 2018, a 34% crash at the start of the pandemic in 2020, and another near 20% drawdown in 2022. A major market event every other year was the price you paid for gains; endure that, and by mid-2024, you were up 103%.

And that was the more *reasonably valued* SPX index; if you owned the *wildly overvalued* Nasdaq 100 (NDX), you gained over 200% in the six years from 2018 to 2024.

What about the even more reasonably priced Russell 2000? Less than 33%